
Getting Approval at BYU

The Steps and the Conflict-of-Interest Management Plan

Vertical Cloud Lab · 19 August 2026

A faculty member who co-founds a venture-funded company while remaining a full-time professor needs a defined set of university approvals. This document lays out that path for department and university leadership. Part 1 is the approval sequence — who signs what, in what order, and what the university gains from the arrangement. Part 2 is the proposed conflict-of-interest management plan itself, ready to be attached to the university’s disclosure paperwork and signed.

How this fits BYU’s own process. BYU’s [Financial Disclosure Form](#) (with its [instructions](#), both on the [Research Administration Office’s policies page](#)) asks whether “a proposed conflict of interest management plan is attached,” and the [Financial Conflict of Interest in Research Policy](#) has the faculty member develop that plan in consultation with the Research Administration Office, for approval by the Associate Academic Vice President for Research. BYU publishes no plan template, so Part 2 follows the management tools BYU’s policies name and the formats peer universities publish ([Iowa](#), [Colorado State](#), [Nebraska](#)).

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Offices named in this document

Research Administration Office	negotiates and signs research contracts; first reviewer of financial disclosures. Director: Debbie Silversmith.
Technology Transfer Office	licenses BYU-owned inventions. Director: Dave Brown; engineering licensing: Bennett Mortensen.
Associate Academic Vice President for Research	decides whether a disclosed interest is a conflict and approves every management plan. Currently Larry Howell. Shortened below to “AAVP–Research.”
Regulatory Accounting	approves cost-recovery accounts and rates; one of three offices that must approve an employee acting as a vendor to BYU.

The situation, and what two numbers already decide

The plan in Part 2 is written for one specific arrangement:

- The faculty member remains a **full-time professor** — no leave of absence. Teaching, the research lab, and student mentoring continue unchanged.
- The faculty member co-founded the company, holds **more than ten percent** of its stock, and serves only in an advisory role.
- The company has raised **more than \$3 million** from investors.
- The company expects to license BYU-developed technology (BYU may take stock in the company as part of the price), may sponsor research in the faculty member’s lab, may place equipment there, and the lab may sell instrument time to outside users at cost-recovery rates.
- The lab’s outputs are released as open-source software and hardware by default.

BYU policy attaches three specific consequences to the ownership and fundraising numbers. This plan accepts all three rather than seeking exceptions:

1. **The faculty member stays out of every BYU–company deal.** Above ten percent ownership, the company is a “Related Party” under the [Conflict of Time or Interest Policy](#), and “negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party” for its benefit is on the policy’s *prohibited* list — the conflicts BYU says cannot be managed at all. Someone else negotiates and signs on each side (§4).
2. **No voting board seat.** The [Intellectual Property Policy](#) allows a faculty member a voting seat on the board of a company that licenses BYU technology only if the company has raised no more than \$3 million and has no non-accredited investors. This company is past that ceiling, so board involvement is limited to a non-voting observer or advisory role (§2.2).
3. **The inventor’s royalty share is given up.** Under the same policy, an inventor who controls ten percent or more of the licensee forfeits the personal 45 percent share of BYU’s licensing income — and with it the option to steer that share, with university matching, into a research account. The faculty member’s financial interest is the company stock alone. (A written

exception is possible with dean, AAVP–Research, and Technology Transfer Office approval; this plan does not assume one.)

Part 1 — The approval sequence

“Department approval” is the first layer of a stack rather than a single event. The department controls the disclosure, the written authorization of the outside role, and this management plan; each later transaction (license, research agreement, equipment placement) then adds university-level approvers. Two rules run through all of it: **disclose before acting**, and **every BYU–company arrangement lives in a written agreement signed by the university** — never by the faculty member.

The steps in order

#	WHAT HAPPENS	WHO APPROVES	WHEN
1	Informal briefing of the department chair, with this document as the agenda	—	first
2	Outside-activity disclosure filed in Faculty Profile (the “Conflict of Interest and Conflict of Time” screen, Annual Review section)	filed, not approved	before the role begins; renewed annually
3	Written authorization of the outside role (operating a business; advisory service)	department chair and dean	before taking the role
4	This management plan, written with the chair (Part 2)	dean; AAVP–Research for the research provisions	together with step 3
5	Financial Disclosure Form , with Part 2 attached	chair → dean’s office → Research Administration Office director → AAVP–Research	before any research proposal involving the company; updates within 30 days
6	Required conflict-of-interest training — the university’s online course (CITI)	—	before approvals are requested
7	License or assignment of BYU technology	chair, dean, Technology Transfer Office, and General Counsel review; AAVP–Research decides	at deal time
8	Company-sponsored research agreement	Research Administration Office negotiates and signs; chair, dean, and AAVP–Research approve the proposal	when company money funds lab work
9	Company equipment placed in the lab	Research Administration Office signs a loan agreement or research-agreement term	before delivery

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#	WHAT HAPPENS	WHO APPROVES	WHEN
10	Lab sells instrument time at cost-recovery rates (Recharge Center Policy)	chair → dean → Regulatory Accounting (rates re-approved annually)	before billing outside users
11	The company sells anything to BYU	employee-vendor approval by Purchasing & Travel, Compensation, and Regulatory Accounting	before any BYU purchase

Three notes on the sequence:

- **The standard the chair and dean apply is written down.** They “do not approve activities they believe would unduly limit a faculty member’s availability to students or compromise... teaching, scholarship, or citizenship performance” ([Conflict of Time or Interest Policy](#)). The step-1 briefing should therefore lead with the time budget and the teaching plan, not the company.
- **Timing matters more than sequence.** Disclosure must come before the activity, and a plan approved early — while the stakes are small — is the dated record that answers scrutiny later if the company succeeds.
- **Steps 7–11 recur with each transaction**, and the faculty member is out of the negotiation every time (§4).

What the university gains

1. **Instrument access for students.** Company-owned equipment hosted in the lab under university-signed agreements gives research students hands-on access to instrumentation the university would find hard to buy on its own budgets.
2. **Outside revenue that stays in the lab.** Instrument time billed to outside users at external cost-recovery rates — and company research sponsorship — fund student wages, future equipment, and student travel. Because these are not federal grant funds, they carry fewer spending restrictions (a federal small-business subaward, if one comes later, would remain federal money with federal rules). None of it goes to the faculty member’s own salary or travel (§5.4).
3. **New research funding.** Company sponsorship arrives as arm’s-length research agreements, with federal small-business (SBIR/STTR) subawards possible later.
4. **Industry connections for students:** internships, applications for their research, and jobs after graduation.
5. **Open source keeps students publishing.** Because the company’s model is open software and open hardware, student manuscripts, conference talks, and theses avoid the standing confidentiality regimes a conventional corporate sponsor imposes. What remains is the university’s own invention-disclosure check before public release, which can add short, bounded delays for patent filings (§8.1) — but no thesis is ever embargoed for the company (§6.3).

Part 2 — The conflict-of-interest management plan

Conflict of Interest Management Plan

Brigham Young University — Department of Mechanical Engineering / Ira A. Fulton College of Engineering

FACULTY MEMBER	[Sterling G. Baird], Assistant Professor, Department of Mechanical Engineering (the “Faculty Member”)
COMPANY	[NewCo, Inc.], a [Delaware corporation] commercializing automated (“cloud lab”) materials-experimentation technology (the “Company”)
GOVERNING POLICIES	Conflict of Time or Interest Policy ; Financial Conflict of Interest in Research Policy ; Intellectual Property Policy ; Financial Disclosure Form and Instructions ; Sponsored Projects Handbook ; Recharge Center Policy and Procedures
EFFECTIVE DATE	[date]
REVIEW	annual, with the Faculty Profile outside-activity disclosure

§1. The relationship being managed

- 1.1 The Faculty Member co-founded the Company and holds **more than ten percent** of it (currently [•]%, counting all stock, options, and rights to acquire stock; interests of immediate family members are included in every disclosure; updated after each financing under §9.2).
- 1.2 The Faculty Member’s only Company roles are stockholder and **[Chief Scientific Advisor]** — an advisory role with no officer title, no employment relationship, no board vote, and no authority over Company staff.
- 1.3 The Faculty Member receives **no pay from the Company**: no salary, consulting fees, bonuses, or expense-paid travel. Stock is the only financial interest. This also keeps the arrangement clear of the rule that a faculty member may be a paid consultant to a company or participate in research it sponsors, but not both at once ([Intellectual Property Policy](#); exceptions require chair, dean, and written AAVP–Research approval).
- 1.4 Because the ownership is ten percent or more, the Faculty Member forfeits the inventor’s personal 45% share of any income BYU receives from licensing to the Company, and the matched research-account option that goes with it. Acknowledged; no exception is requested.
- 1.5 The Company has raised more than \$3 million. Expected BYU touchpoints: a license or assignment of BYU technology (BYU may hold Company stock as part of the price); Company-sponsored research in the Faculty Member’s lab; Company equipment placed in the lab; possible sales of lab instrument time.

- 1.6 The lab releases its outputs as open-source software and hardware by default, after the invention-disclosure step in §8.1.
- 1.7 The Faculty Member remains on a full-time faculty appointment and is not on leave. A change in any fact in this section requires a plan amendment *first* (§10).

§2. Role and boundaries

- 2.1 **Advisory titles only.** The Faculty Member will not serve as an officer of the Company “in title or in fact,” nor as an employee or manager of Company staff, while a full-time faculty member (*Conflict of Time or Interest Policy*; *Sponsored Projects Handbook*: “Faculty members not on leave are not to be line officers in outside companies”). This is the same line **Stanford draws**: advisory roles yes, management roles and titles no.
- 2.2 **No voting board seat** — foreclosed by the Company’s fundraising, as explained on page 2. Any non-voting observer or advisory-board seat is named in the step-3 written authorization from the chair and dean, not assumed.
- 2.3 **Neither hat speaks for the other.** The Faculty Member does not represent BYU in any Company matter or the Company in any BYU matter, and is not authorized to commit either organization to anything. The Company does not use BYU’s name, logo, or facilities in its advertising or investor materials (*Intellectual Property Policy*: “The name of the university shall not be used... in any advertising”).

§3. Time, teaching, and availability to students

- 3.1 All Company activity fits inside BYU’s outside-activity allowance: an average of **one day a week, at most four days a month**, across every outside activity combined. The Faculty Member keeps a log of days spent and reports it to the chair with the annual disclosure.
- 3.2 **Scheduled teaching is never displaced.** Classes, class preparation, and office hours are held as scheduled; Company time taken during a workday is made up on evenings or weekends that same week (*Conflict of Time or Interest Policy* compensating-time expectation).
- 3.3 **Students are calendared first.** Student meetings and research-group meetings are placed on the calendar before Company commitments, which fit around them — not the reverse.
- 3.4 The chair reviews the time log at annual review against the policy’s standard (availability to students; teaching, scholarship, and citizenship performance) and may require Company time to be reduced if any of these show strain.

§4. Contracts: who negotiates and who signs

- 4.1 The Faculty Member takes **no part in negotiating, approving, or influencing any agreement between BYU and the Company — on either side of the table**. This covers the license, every research agreement, every equipment placement, and any gift. The Company is represented

by a non-founder officer ([name/title]); BYU is represented by the Research Administration Office, the Technology Transfer Office, or the Office of General Counsel (*Conflict of Time or Interest Policy*, prohibited conflicts: “negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party for the benefit of the employee or a Related Party”).

- 4.2** The Faculty Member does not advocate for any BYU–Company deal or its terms with the chair, dean, Research Administration Office, Technology Transfer Office, or AAVP–Research, directly or through colleagues.
- 4.3** **What remains permitted**, each an ordinary duty: telling the Technology Transfer Office that the Company is a potential licensee; technical input on the scientific scope of work, submitted through the Research Administration Office’s designated contact; serving as the named technical contact once an agreement is signed; signing the inventor’s acknowledgment of a license; and signing any royalty Distribution Agreement — a contract between BYU and its own employee (given §1.4, no distribution is expected from this license) (*Technology Transfer Office*, “*Working with the Technology Transfer Office*”).
- 4.4** **If the Company ever sells to BYU** (instrument time, equipment, services), the sale happens only after the Faculty Member is approved as an employee-vendor by Purchasing & Travel, Compensation, and Regulatory Accounting, and the Faculty Member takes no part in any BYU purchasing decision involving the Company. Both parties acknowledge the policy’s hard stop: an employee whose access to BYU’s non-public information would give their company an unfair advantage may not do business with the university at all (*Employee-Vendor Policy*, university policy library (policy.byu.edu, sign-in)).

§5. Company-sponsored research and cost recovery

- 5.1** Any Company use of lab personnel, students, or facilities is carried out under a written agreement selected and signed by the authorized university office: a **sponsored research agreement** for research work — the default, negotiated by the Research Administration Office at BYU’s standard terms, with no lasting restrictions on publication — a cost-recovery account for purchases of instrument time (§5.4), or an equipment agreement (§7.3). No Company work happens in the lab outside a signed agreement’s scope of work (*Intellectual Property Policy*: activities “must be administered as sponsored research projects when there is a substantial use of university resources or when BYU students are employed”).
- 5.2** **Independent eyes on the science.** A senior faculty member with no Company interest, designated by the dean ([•]), reviews the design of each Company-sponsored project before work begins and the work at least annually thereafter — funding, student roles, publication freedom, and the separation between university and Company work — reporting to the chair and AAVP–Research; the chair may pause affected work while a concern is resolved. (Staffing note: research associates and postdoctoral fellows may serve as co-investigators on such projects but not as principal investigators, so faculty-level responsibility stays with regular faculty.)

- 5.3** Publications and presentations from Company-sponsored or license-related work disclose the Faculty Member's Company interest, and BYU's stock position if BYU holds one. If BYU accepts Company stock, the university's own interest is reviewed outside the conflicted chain — by the AAVP–Research with the Office of General Counsel — separately from this individual plan.
- 5.4 Cost recovery, and where that money goes.** Sales of lab instrument time outside a research agreement run only through a cost-recovery (recharge) account approved by the chair, dean, and Regulatory Accounting, with outside users billed at the external rate — overhead included — and the tax treatment of outside sales (“unrelated business income”) settled with Regulatory Accounting before billing starts (*Recharge Center Policy and Procedures*). **Self-imposed boundary:** revenue from Company-related cost recovery or sponsorship is budgeted to student wages, equipment, and student travel — none of it funds the Faculty Member's salary (including summer salary) or the Faculty Member's own travel.

§6. Students

BYU policy requires disclosure but does not otherwise spell out protections for students around a faculty member's company. This section creates them.

- 6.1 Written notice.** Every member of the lab receives written notice of the Faculty Member's Company interest (and BYU's, if BYU holds stock) when they join and annually after; a copy goes to the chair.
- 6.2 An independent advocate.** The graduate coordinator or associate chair — someone with no Company interest — meets the lab's students at least once a semester without the Faculty Member present, and students may go to them, the chair, or the dean's office at any time.
- 6.3 Student time is protected, and participation is voluntary.** Working on Company-related projects is a choice: a comparable non-Company project, funding source, and supervisor are available without penalty, retaliation is prohibited, and a student's choice never affects grades, authorship, funding, or letters of recommendation. No student is asked to do Company work as part of any BYU role; Company tasks exist only inside the sponsored agreement's scope of work. Thesis topics, timelines, and publication schedules are set on academic grounds — never by Company deadlines — and no thesis is embargoed and no defense put under a confidentiality agreement for the Company's convenience. Where patent timing requires quiet, the answer is a provisional patent filing before the defense, not restricting the student's work.
- 6.4 Hours and double employment.** University employment respects BYU's caps — 20 hours a week during fall and winter semesters, with stricter limits for international students, whose visa status can be at stake. A student working for BYU and the Company at the same time on related subject matter must disclose it (a policy requirement, not just a plan term), and the advocate reviews the student's combined load each semester so assistantship duties and degree progress are not squeezed (*Student Hiring and Employment Policy and [Conflict of Time or Interest Policy](#) (student disclosure trigger)*).

6.5 Company jobs and internships. A student who wants to work for the Company is referred to the advocate and the dean's office for advice independent of the Faculty Member — the practice [Stanford recommends](#) for faculty startups — and the advocate reviews the offer's terms (duties, hours, pay, invention-assignment and confidentiality obligations, visa implications) before it is accepted. The Faculty Member does not supervise the same student's thesis and Company work; a Company internship taken for academic credit is arranged and graded by someone else. (BYU's internship rules bar credit under a family member's supervision but are silent on a faculty advisor's own company; this plan closes that gap.) Any Company offer to a student the Faculty Member currently supervises triggers a plan amendment first (§10).

6.6 Lab membership and Company personnel. Everyone working in the lab signs BYU's standard participation and invention-assignment agreement. Company employees do not work in the lab informally or as volunteers; their presence on campus runs through a written visiting appointment or the sponsored agreement.

§7. University resources and equipment

7.1 The rule is categorical: "University Employees may not use university resources, facilities, or work time to engage in commercial activities, businesses, or 'start-up' companies" ([Intellectual Property Policy](#)). Accordingly, all Company work runs on Company-owned laptops, accounts, software subscriptions, and storage from day one. On campus, Company devices use their own cellular connection — not BYU networks, whose use for outside commercial purposes requires written authorization from the responsible vice president and the university's chief information officer, and which the university may monitor. No Company data on BYU systems; no non-public BYU information on Company systems.

7.2 Campus office. Use of the campus office for the Company is limited to occasional calls and correspondence on Company devices — none of the Company's records, operations, meetings, or visitors. Using a campus office for business purposes requires explicit written approval, which university policy places with the chair and dean; that approval is requested together with step 3, and until it is granted this allowance does not operate — there is simply no Company use of the office.

7.3 Equipment placements. Company equipment enters the lab only under a university-signed agreement — an equipment loan or a term of the research agreement — settling ownership, insurance, maintenance, access, export-control screening, and removal before delivery. The Faculty Member signs nothing. Students use placed equipment for university research or within the sponsored agreement, and the equipment is reported as outside support on federal grant applications where required.

§8. Inventions and open-source release

8.1 Disclose first, release second. New inventions are disclosed to the Technology Transfer Office *before* anything is made public — a public code repository, preprint, conference talk, or thesis

included — because public release first can permanently destroy foreign patent rights. After the office files a provisional application or releases the rights, open-source release proceeds. The lab keeps a standing pre-release checklist, and review is bounded: normally 30 days, with up to 60 more only when a patent filing is under way — and it never delays a thesis defense, thesis deposit, or graduation (§6.3) (*Intellectual Property Policy*; *Technology Transfer Office*, “*Preparing a Patent Application*”).

- 8.2 Open-source boundaries are set upstream.** What is released openly versus kept proprietary is fixed in the lab’s published open-science policy and the Company’s published licensing policy — both adopted outside any BYU negotiation — so the Faculty Member never argues release terms at a BYU–Company table (§4). BYU’s own ownership and approval rights (§8.1) still govern every release.
- 8.3 A clean line between the two employers’ inventions.** The lab and the Company keep records showing where, when, and with what resources each invention was made. Because BYU’s ownership claim extends to inventions “related to the current or demonstrably anticipated business, research, or development of the university,” Company-side inventions near the lab’s field are covered by written Technology Transfer Office releases or license carve-outs — not by records alone.

§9. Reporting

- 9.1 Annually:** the outside-activity disclosure in Faculty Profile; the financial disclosure with the Research Administration Office; the time log to the chair (§3.1); the advocate’s student review (§6.2); and the independent reviewer’s report (§5.2). The chair monitors compliance with this plan through completion of the affected projects — not only at annual review (*Financial Conflict of Interest in Research Policy*: chair monitoring responsibility).
- 9.2 Within 30 days:** any Company financing, change in the Faculty Member’s ownership percentage, change of role or title, new proposed BYU–Company transaction, or contemplated leave is reported to the chair and the Research Administration Office. (The 30-day update of financial disclosures is required by policy; the other triggers are terms of this plan.)
- 9.3 Acknowledged consequences.** On research funded by the U.S. Public Health Service (for example, the National Institutes of Health), BYU must answer public requests about disclosed financial interests within five business days. An untimely, unreviewed, or unmanaged financial conflict on covered research triggers a formal retrospective review by the AAVP–Research, chair, associate dean, and Research Administration Office director (*Financial Disclosure Form Instructions*).

§10. Changes that require amending this plan first

- any officer title, employment relationship, or voting board role at the Company;
- any leave of absence;
- Company employment of a student the Faculty Member currently supervises;

- the Company selling anything to BYU (§4.4);
- a request for an exception to the royalty forfeiture (§1.4);
- any research involving human subjects that touches the Company;
- any change in the facts of §1.

§11. Review, duration, and remedies

- 11.1** The AAVP–Research reviews this plan annually with the chair and dean and may strengthen it at any time — the tools named in policy run from an independent monitor to removal from a project to reduction or elimination of the financial interest — or end it when the interests in §1 no longer exist, confirmed in writing. Noncompliance is handled under the governing policies.
- 11.2** Commitments in this plan about Company conduct — no use of BYU’s name (§2.3), no informal approaches to students (§6.5–6.6), no Company personnel or equipment in the lab outside signed agreements (§6.6, §7.3) — are confirmed in a one-page acknowledgment signed by an authorized Company officer and attached to this plan.

§12. Approvals

PARTY	ROLE UNDER THIS PLAN	SIGNATURE / DATE
[Sterling G. Baird], Faculty Member	subject of the plan	_____
[•], Department Chair, Mechanical Engineering	plan co-author; ongoing compliance monitoring (§9.1); office-use approval (§7.2) with the dean	_____
[•], Dean (or Associate Dean), Ira A. Fulton College of Engineering	plan approval; office-use approval (§7.2) with the chair	_____
[Debbie Silversmith], Director, Research Administration Office	disclosure review; negotiates research and equipment agreements (§§4–5, 7.3)	_____
[Larry Howell], Associate Academic Vice President — Research & Graduate Studies	conflict determination; plan approval; final decision on any license	_____
[Dave Brown], Director, Technology Transfer Office	provisions touching the license and inventions (§§4, 8)	_____

Open items

- The AAVP–Research office may keep its own preferred plan format; this document is written to be reshaped into it.
- Several cited rules — the campus-office approval, the information-technology commercial-use rule, student employment caps, the employee-vendor workflow, and investigator eligibility for research staff — live in policies behind university sign-in (policy.byu.edu); their wording here follows an authenticated review of the full policy library in July–August 2026.
- The published Recharge Center Policy is dated June 2005; Regulatory Accounting should confirm the current version before a rate proposal.